

tion, and it is only going to be delivered by firms that can create an AI-led data core purpose-built for the Cloud. And it does allow us to not just talk about AI and AI-led transformation but build upon the execution intensity that is uniquely our own,” says Singh. With the acquisition of Encora, the company now has a presence in LATAM (Latin America, encompassing countries in South America, Central America, Mexico, and parts of the Caribbean). “Our primary focus will continue to be North America and Europe, but LATAM, like Australia, will become an increasingly important secondary market,” he says.

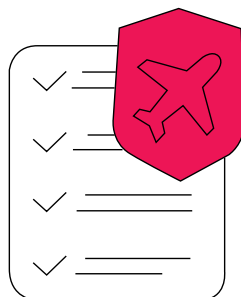
Encora has around 9,300 employees, implying revenue per employee of around \$74,000 versus \$69,000 for Coforge, and operates at higher margins than Coforge, analysts at Motilal Oswal wrote in a note on December 26. “The vertical mix, primarily HiTech and Healthcare, is a positive, especially given Coforge’s strategic intent to scale these segments,” the report said. Calling Encora—which reported revenues of \$516 million in FY25—Coforge’s biggest and boldest bet yet, brokerage Nuvama said the acquisition will further accelerate the IT firm’s growth.

According to Singh, the pandemic was the company’s most challenging period because of 30% exposure to airlines and airport clients. But since then, Coforge has been making strong gains. “Enterprises understand today that without rearchitecting their core systems, they cannot fully leverage AI, and this in turn plays directly to Coforge’s strengths,” says Singh. While the discretionary demand environment remains robust, it is becoming far more selective, he cautions. “Clients are no longer investing in transformation for transformation’s sake. They want measurable business outcomes,” he says.

As AI comes knocking on the \$285-billion Indian IT industry’s door, Singh expects a material shakeout. “It is going to be very difficult unless talent transformation is done, and for

WHAT COFORGE DID RIGHT

- 01 **Coforge made a conscious decision to build for relevance, not just for scale**
- 02 **It sharpened its focus on a select set of industries where it has domain expertise**
- 03 **These included airlines, speciality insurance, capital markets, broader banking and public sector enterprises in the UK and Australia**
- 04 **Doubled down on long-term client relationships**



firms that remain wedded to the legacy delivery models,” he says.

Singh is bullish about the opportunity as he believes that AI can create more solutions and address tech spend on innovation. “There will be winners and losers, and it’s going to be a big shakeout,” he says.

India’s top five IT firms have significantly slowed recruitment with only 17 net hires in the first nine months of FY26 as AI-driven delivery models gained traction. On AI’s impact on jobs, Singh says Coforge has been an outlier. “We have been recruiting aggressively. We have not changed our model of recruiting from colleges and campuses that some of our peers have stopped,” he adds. He believes that growth will be linked to hiring paradigms. The other thing that will be important, from a hiring and employment perspective, is the ability of the industry to drive talent transformation and ensure that people evolve faster than the industry itself.

The inflexion point in AI was about two years back, reckons Singh. “It was very clear even two years back that AI-led engineering at scale to help create and operate intelligent enterprises was the way forward. Enterprises are increasingly asking for partners who can execute against the promise of AI and show the return on investment instead of just talking about it,” he avers.

The Coforge CEO, who travels extensively across the company’s 30 delivery centres in 23 countries, says the toughest calls he has had to make have been around people. “Strategy and managing clients are easy, provided one has the right intent. The toughest calls have always been centred around people in the top 0.1% who you have to hold accountable at times. The toughest calls in business are always about people,” he says. To connect with his team, Singh conducts town halls regularly. This, he says, started from his days at HUL where the culture was one of getting the team together instead